

Multiple Choice

1. **Answer:** C

Options: A) decreasing AD with constant SRAS.; B) a decrease in AD with increasing SRAS.; C) decreasing SRAS with constant AD.; D) increasing both AD and SRAS.; E) a decrease in AD and an increase in SRAS.

Note: Stagflation occurs when there is a simultaneous increase in unemployment and inflation, which is typically caused by a decrease in short-run aggregate supply (SRAS) while aggregate demand (AD) remains constant, leading to higher prices and reduced output.

2. **Answer:** A

Options: A) Conducting monetary policy for the government; B) Offering educational services on finance; C) Investing in securities; D) Issuing credit cards; E) Setting interest rates for the entire economy

Note: Commercial banks play a crucial role in conducting monetary policy for the government by managing the money supply, influencing interest rates, and facilitating the transmission of policy decisions through lending activities.

3. **Answer:** B

Options: A) Per unit and per category; B) Ad valorem and specific; C) Percentage and fixed fee; D) Comprehensive and selective; E) Fixed rate and variable rate

Note: The correct answer identifies the two primary methods of imposing tariffs-ad valorem, which is based on a percentage of the value of the goods, and specific, which is a fixed amount per unit-reflecting fundamental concepts in international trade policy.

4. **Answer:** C

Options: A) It will be located in the middle of the equilibrium price.; B) It will be located below the equilibrium price.; C) It will be located above the equilibrium price.; D) It will be located above the market price.; E) It is used when the equilibrium price is too high.

Note: A price floor is set above the equilibrium price to ensure that prices do not fall below a certain level, which can lead to surpluses in the market.

5. **Answer:** B

Options: A) The FED lowers the discount rate.; B) The FED sells government securities in the secondary market.; C) The federal government spends less money.; D) The FED lowers reserve requirements.

Note: The correct answer is based on the fact that when the Federal Reserve sells government securities in the secondary market, it reduces the amount of reserves in the banking system, thereby decreasing the overall money supply available for lending and spending.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: Per capita figures are primarily used to measure economic indicators such as income or consumption on an individual basis, rather than tracking the number of businesses within an economy, which is typically assessed through absolute counts or ratios related to business density.

7. **Answer:** False

Options: A) True; B) False

Note: A lump-sum tax reducing disposable income by \$50 billion will decrease NNP by a smaller amount than the tax reduction due to the marginal propensity to consume and the resulting multiplier effect in the economy.

8. **Answer:** True

Options: A) True; B) False

Note: An inferior good can experience a decrease in quantity demanded when an increase in consumer income leads to a stronger preference for higher-quality substitutes, causing the income effect to dominate and reduce the demand for the inferior good despite its lower price.

9. **Answer:** True

Options: A) True; B) False

Note: Labor is considered a scarce resource because it is limited in availability, and in the circular flow model, households supply labor to businesses in exchange for wages, which businesses need to produce goods and services.

10. **Answer:** False

Options: A) True; B) False

Note: Subsidizing education for all citizens enhances human capital, leading to a more skilled workforce, which typically results in increased labor productivity and economic growth.

Long Form Response

11. **Answer:** Mr. Balfour's investment choices between tax-free municipal bonds and a standard savings account are significantly influenced by his marginal tax rate of 30%. Municipal bonds are advantageous because the interest earned on them is exempt from federal income tax, allowing Mr. Balfour to retain the full amount of interest without taxation. In contrast, interest from a standard savings account would be subject to his 30% tax rate, reducing his effective return. To illustrate, if the municipal bond offers a 4% yield, he would effectively earn 4%, while a savings account yielding 3% would only provide him with 2.1% after taxes. Therefore, the tax-exempt status of municipal bonds renders them the more financially beneficial option for Mr. Balfour.

Note: correct because it demonstrates that Mr. Balfour benefits more from tax-free

municipal bonds, as their interest is not taxed, whereas the taxable interest from a savings account is significantly reduced by his 30% marginal tax rate, making municipal bonds the more financially advantageous option.

12. **Answer:** The Soviet planned economy faced significant microeconomic challenges that undermined its effectiveness, particularly in consumer satisfaction, quality versus quantity, and technological resistance. Firstly, the system's inefficiency in meeting consumer desires resulted in chronic shortages and a lack of variety in goods, leaving consumers dissatisfied. Additionally, the emphasis on increasing physical output often obscured the importance of quality and cost, leading to the production of substandard goods that did not meet consumer needs or preferences. Furthermore, there was a notable resistance to adopting superior technologies, as the focus on meeting high production quotas discouraged innovation and improvements that could enhance efficiency. This combination of factors ultimately hindered the Soviet economy's ability to satisfy its populace and adapt to changing economic conditions.

Note: correct because it identifies the core microeconomic issues-consumer dissatisfaction due to shortages and lack of variety, the prioritization of quantity over quality, and the resistance to technological advancement-that collectively undermined the efficiency of the Soviet planned economy.